

BUSINESS STRATEGY PROJECT

boAt

D2C-Style Business Strategy Report

Can boAt stay profitable in a price-sensitive market full of rivals?

Management Research Project Report
Submitted in partial fulfillment of the requirements for the award of the degree of

BACHELOR OF BUSINESS ADMINISTRATION

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Academic Year: 2026–2029

CERTIFICATE

This is to certify that Harshith Singh, S. Nikhil Reddy, S. Harshawardan Reddy and Syed Merajuddin have worked under my supervision for the Management Research Project titled "Can boAt stay profitable in a price-sensitive market full of rivals?" during the academic year 2026–2029, in partial fulfillment of the requirements of the Bachelor of Business Administration programme. The students have completed the work to the best of my knowledge and belief.

Signature of Faculty Supervisor	Signature of HOD
Name: Dr. Himanshu Dabar	Name: Dr. Siva Sree

ACKNOWLEDGEMENT

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DECLARATION

We hereby declare that the project report entitled “Can boAt stay profitable in a price-sensitive market full of rivals?” is the result of the work carried out by our team. The report has been prepared for academic purposes as part of the Bachelor of Business Administration programme at KLH Deemed to be University. It has not been submitted, either fully or partially, to this or any other university for the award of any other degree or qualification.

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Abstract

This report studies boAt, the Indian audio and wearables brand run by Imagine Marketing Limited, to answer one question: how has boAt kept its place in a price-sensitive market, and what should it do next to stay profitable? We apply six course concepts: price elasticity, consumer behaviour, cost and break-even, game theory, pricing, and externalities.

We used secondary data from published reports for FY23, FY24 and FY25, collected by desk research, and analysed it in Python. Revenue fell about 8% over two years but almost stopped falling in FY25. Net profit moved from a loss of about Rs 129.5 crore in FY23 to a profit of about Rs 60 crore in FY25. Wearables revenue fell 63%, while audio and other products grew about 12%. A fall in the cost of purchased products, from 72.8% to 66.8% of revenue, is the main reason profit returned. Our simple break-even estimate shows FY25 revenue only about 6% above break-even.

We conclude that boAt can stay profitable, but only narrowly. We recommend that it protect its audio business, avoid price wars in wearables, keep product costs low, and spend on advertising and e-waste compliance with care.

1. Introduction

India's market for earphones, headphones, speakers and smartwatches is crowded and sensitive to price. Many brands offer similar products, customers compare prices online, and discounts are common. In such a market, a company must understand its customers, control its costs and watch its rivals to stay profitable.

boAt is a useful case. It is a home-grown brand that grew mainly by selling online to young customers, it faces strong rivals such as Noise, realme, OnePlus and Boult, and it has published detailed financial information because of its planned public offering. Its recent years show losses, a return to profit, and a sharp fall in one product group, which makes the question of its strategy worth studying.

This report presents the full project: the question, the background, the data and methods, the analysis and results, the findings, the research gaps, the conclusions, and our recommendations.

2. Research question and objectives

2.1 Main question

How has boAt kept its place in India's price-sensitive audio and wearables market, and what should it do next to stay profitable?

2.2 Objectives

- Describe how boAt's revenue, profit and costs changed from FY23 to FY25.
- Find which product group and which cost items explain these changes.
- Estimate how close boAt is to its break-even point.
- Explain boAt's market position using concepts of monopolistic competition and game theory.
- Identify risks, including e-waste rules, and give practical recommendations.

3. About boAt

boAt is a leading Indian consumer electronics and lifestyle brand, founded in 2016 and operated by Imagine Marketing Limited. It sells earphones, headphones, smartwatches, speakers and accessories. It follows a direct-to-consumer (D2C) approach, selling through its own website and major online platforms, and it focuses on affordable pricing, trendy designs and young customers. Strong digital marketing and social media presence have made it a well-known brand.

According to its updated draft offer document filed with SEBI in October 2025, boAt has been India's leading branded personal audio company by volume every year from FY2020 to FY2025, sold over 34 million units in India in FY2025, and offered over 250 products as of 30 June 2025. The company has planned an initial public offering of about Rs 1,500 crore. Its main rivals include Noise, realme, OnePlus, Boult and JBL.

4. Theoretical framework

The project applies six course concepts. This section explains each briefly and how we use it.

4.1 Price elasticity of demand

Demand is elastic when a small price change causes a large change in the quantity bought. In a market with many substitutes, such as earphones, demand for a single brand tends to be elastic. This explains why boAt uses discounts and competitive pricing to attract price-sensitive customers. In this report we use elasticity as a way to read the results, not as a measured number, because we do not have unit and price data.

4.2 Consumer behaviour

Customers choose among brands on price, battery life, charging speed, sound quality, design, brand trust and influencer appeal. These factors decide whether a brand's differences are real (based on actual features) or perceived (based on image and advertising). boAt competes on both.

4.3 Cost, capacity and break-even

Contribution is the selling price minus the variable cost. Break-even revenue is the revenue at which fixed costs are just covered. A firm whose revenue is close to break-even has a small cushion against falling sales or rising costs.

4.4 Monopolistic competition and game theory

Monopolistic competition is a market with many sellers offering slightly different products, free entry, and some pricing power for each seller. A firm adjusts three things: its price, its product (quality, design and features), and its selling costs (advertising). In the short run a firm can earn supernormal profit where marginal revenue equals marginal cost and price is above average cost. In the long run new firms enter, each firm's demand shifts left and becomes flatter, and the firm ends up where its demand curve just touches average cost, so it earns only normal profit (Figure 1).

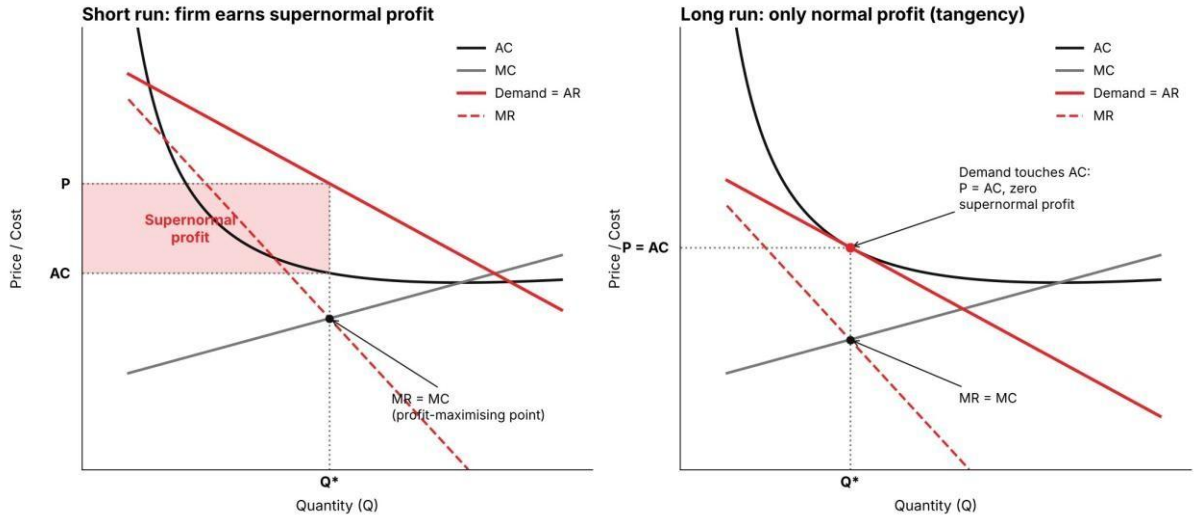


Figure 1: Short-run and long-run equilibrium under monopolistic competition (drawn by our team)

Game theory studies how firms choose when their results depend on rivals' choices. For boAt, the three basic choices are to cut price, hold price, or add value and features, and rivals can respond in the same ways.

4.5 Pricing

Pricing aims to find the price and offer that gives the best value to the firm without losing customers to rivals. Discounts, bundles and launches are the main pricing tools in this market.

4.6 Externalities and regulation

Discarded earphones, headphones, smartwatches and batteries create e-waste, a negative externality that can harm the environment and health if not managed. In India, producers must follow the E-Waste Management Rules and Extended Producer Responsibility (EPR) requirements, and products must meet BIS and consumer-protection standards. Compliance adds cost but protects trust.

5. Data and methodology

5.1 Type of data

We used secondary data, meaning data already collected and published by others. It is mostly quantitative (revenue, profit, costs, product sales) and supported by qualitative information (rules, brand and market descriptions). We did not use primary data because boAt does not share private figures with students and a small survey could not show company-level results.

5.2 Data collection

We used desk research: reading reports, filings and news articles available online. This suits the project because the sources are official or widely reported, free, and recent, and it is the only realistic way to study a company of this size. Table 1 shows our sources.

Source	What we take from it
boAt IPO papers (UDRHP) and company filings	Revenue, profit, expenses, product details
News reports on boAt results (Entrackr, PTI, YourStory, Storyboard18)	Figures from the filings, year by year
CPCB and E-Waste Management Rules	E-waste and EPR requirements
Industry reports (Redseer, quoted in the press)	Market position and competitors
Economic Times, Business Standard	Recent developments

Table 1: Data sources

5.3 Data analysis

We entered the figures into a CSV file and analysed them in Python using Pandas for tables and calculations and Matplotlib for graphs. The methods were:

- Trend analysis of revenue and profit over FY23 to FY25 (year-on-year change).
- Profit margin: net profit divided by revenue.
- Product mix: wearables compared with the rest of revenue.
- Cost structure: purchases and advertising as shares of revenue.
- Break-even estimate for FY25 (Section 6.5).
- Competitor comparison and a game theory reading of boAt's choices.
- A qualitative reading of rules and market descriptions.

6. Analysis and results

All amounts are in Rs crore. Table 2 shows the data we analysed.

Item	FY23	FY24	FY25
Revenue	3,377	3,118	3,098
Net profit / (loss)	(129.5)	(79.7)	60.0
Wearables revenue	901.5	550.0	330.0

Purchase of products	n/a	2,271	2,070
Advertising spend	n/a	365.6	389.7
Total expenses	n/a	n/a	3,040

Table 2: Data used (Rs crore). Source: published reports; n/a = not available in our sources

6.1 Revenue and profit

Revenue fell 7.7% in FY24 and 0.6% in FY25, a total fall of 8.3% from FY23 to FY25. The fall almost stopped in FY25 (Figure 2). Net profit improved each year, from a loss of Rs 129.5 crore to a profit of Rs 60 crore. As a share of revenue, the net margin moved from −3.8% to −2.6% to +1.9%, an improvement of about 5.8 percentage points.

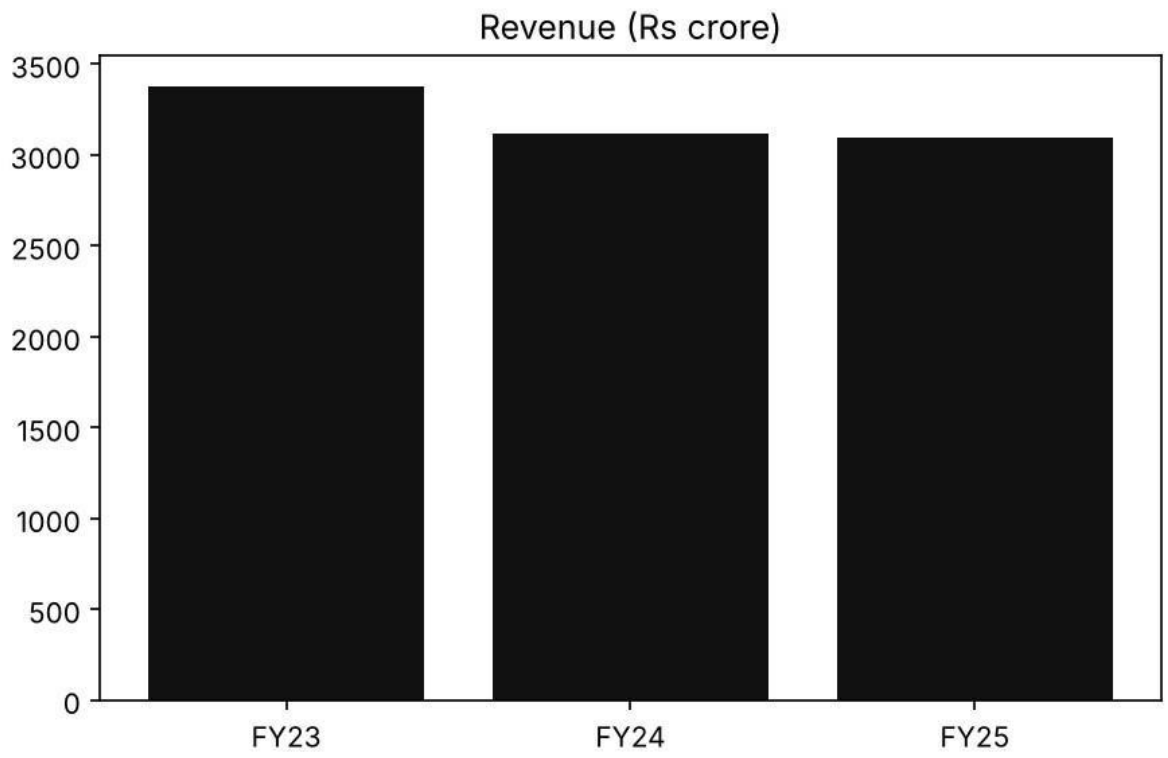


Figure 2: Revenue, FY23 to FY25 (Rs crore)

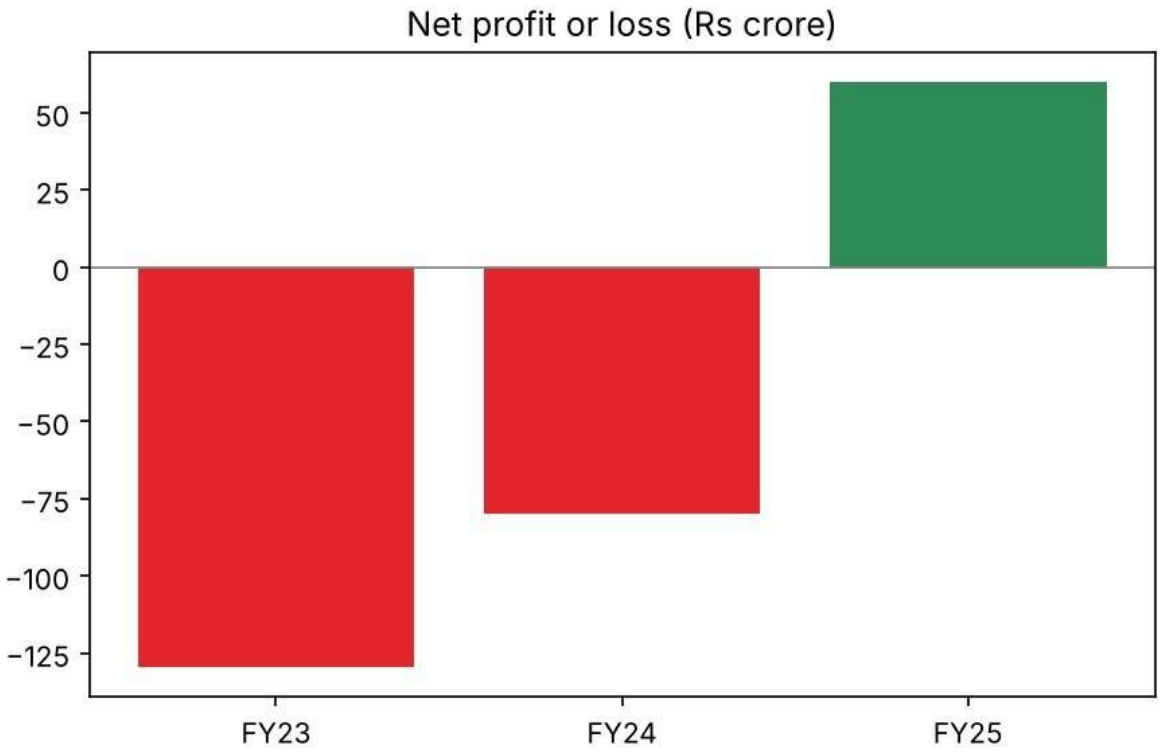


Figure 3: Net profit or loss, FY23 to FY25 (Rs crore)

6.2 Product mix

Wearables revenue fell from Rs 901.5 crore to Rs 330 crore, a fall of 63.4%. Its share of total revenue dropped from 26.7% to 17.6% to 10.7%. The company attributes this to increased competition, changing consumer preferences, softening demand and falling average selling prices. In contrast, the rest of the business (audio and other products, our estimate of total revenue minus wearables) grew from Rs 2,475.5 crore to Rs 2,768 crore, an increase of 11.8% (Figure 4). boAt is therefore now mainly an audio company.

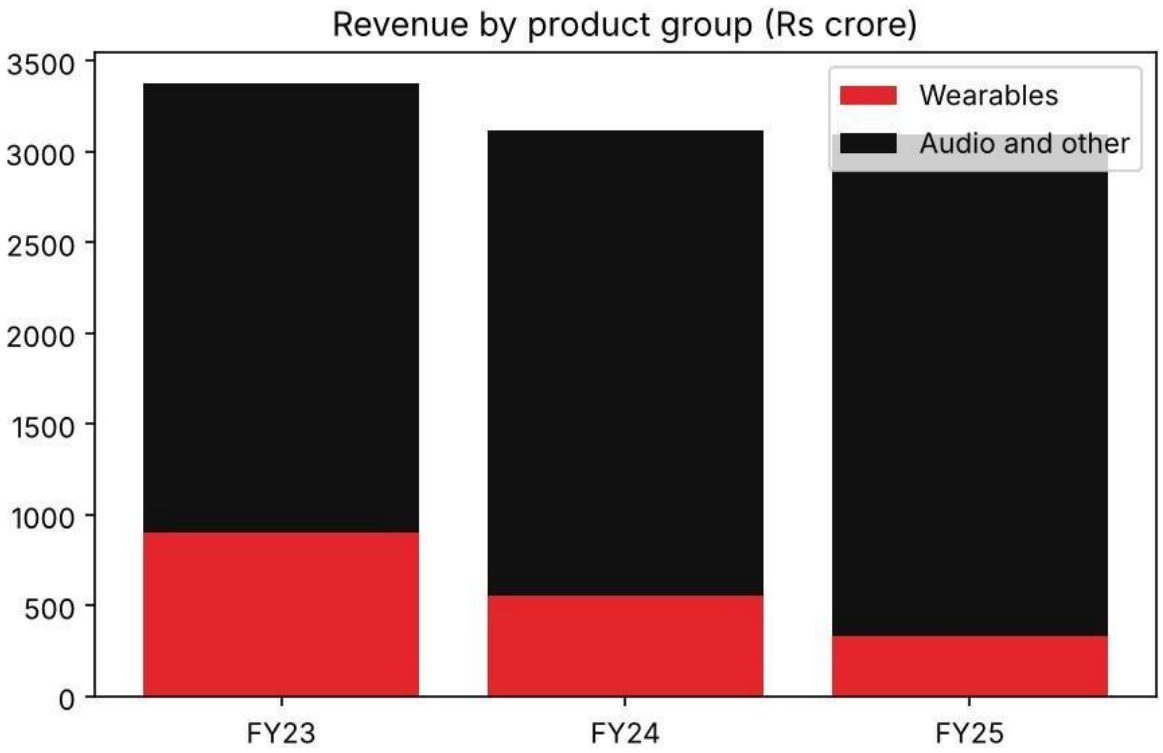


Figure 4: Revenue by product group (Rs crore). Audio and other = total revenue minus wearables

6.3 Cost structure

Purchase of products is boAt's main cost, about 68% of its FY25 expenses of about Rs 3,040 crore. As a share of revenue it fell from 72.8% in FY24 to 66.8% in FY25, while the amount spent fell by 8.9% (from Rs 2,271 crore to Rs 2,070 crore) against a revenue fall of only 0.6%. This matches the company's statement that profit came back through cost discipline. Advertising rose slightly, from 11.7% to 12.6% of revenue (Figure 5).

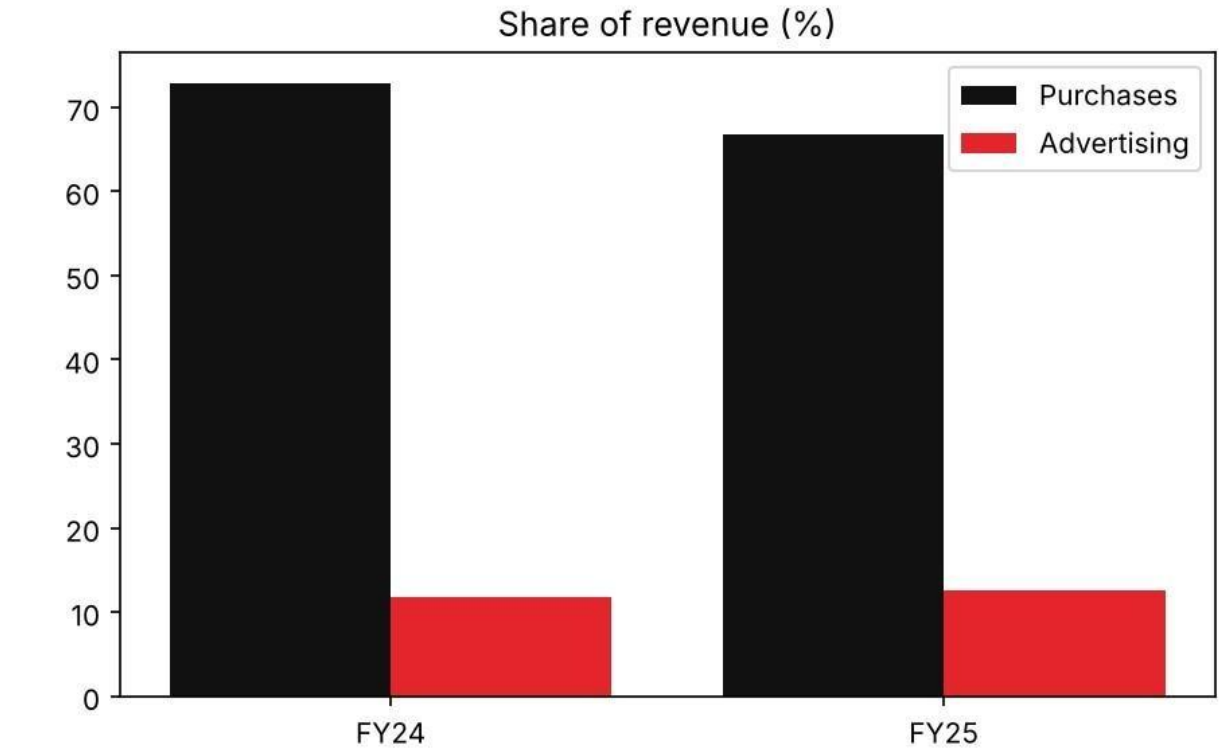


Figure 5: Purchases and advertising as a share of revenue (%)

6.4 Summary of calculated indicators

Indicator	FY23	FY24	FY25
Revenue growth (%)	n/a	−7.7	−0.6
Net profit margin (%)	−3.8	−2.6	1.9
Wearables share of revenue (%)	26.7	17.6	10.7
Audio and other growth (%)	n/a	3.7	7.8
Purchases as % of revenue	n/a	72.8	66.8
Advertising as % of revenue	n/a	11.7	12.6

Table 3: Indicators calculated in Python

6.5 Break-even estimate for FY25

We made a simple estimate with two assumptions: product purchases are the variable cost, and all other expenses are fixed. For FY25, the contribution ratio is 1 − (2,070 ÷ 3,098) = 33.2%. Fixed costs are 3,040 − 2,070 = Rs 970 crore. Break-even revenue is therefore 970 ÷ 0.332 = about Rs 2,923 crore. Actual revenue of Rs 3,098 crore is only about 5.6% above this level (Figure 6). boAt's cushion against a further fall in sales or a rise in costs is thin.

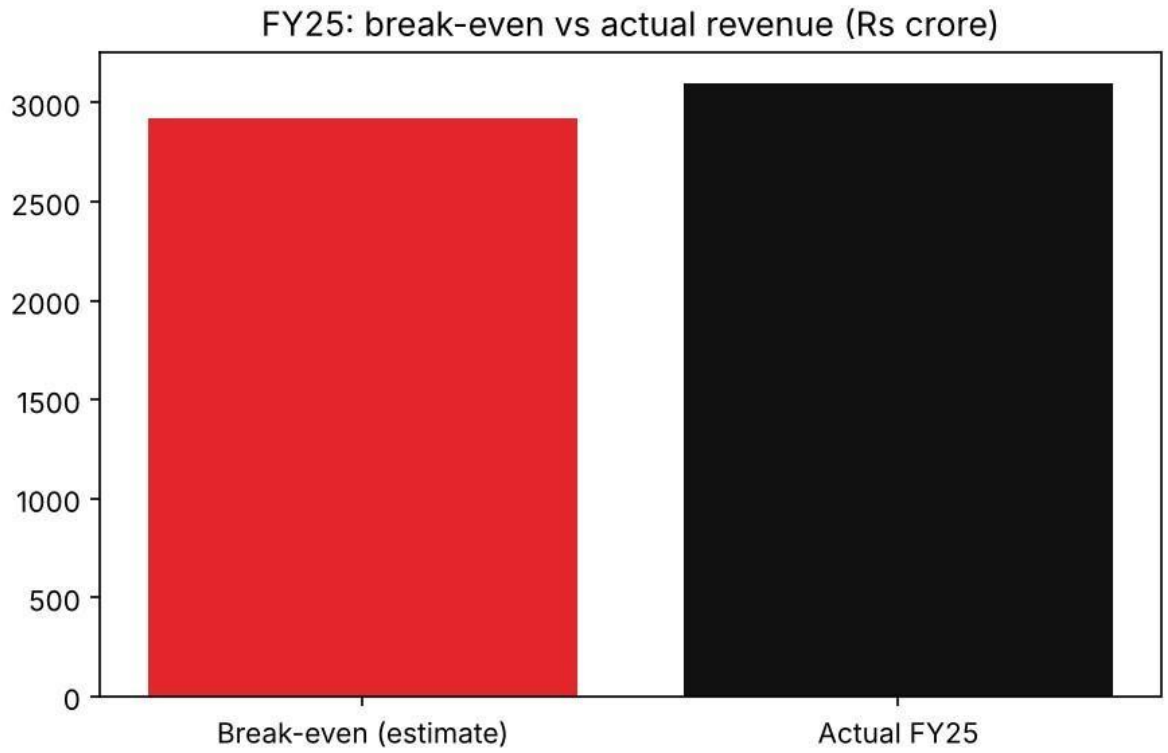


Figure 6: FY25 break-even revenue (estimate) against actual revenue (Rs crore)

6.6 Competition and market structure

The market fits monopolistic competition: many brands sell similar products differentiated by features, design and brand image, entry is easy, and each firm has limited pricing power. In FY23, Noise's wearables revenue (about Rs 1,138 crore) was higher than boAt's (about Rs 902 crore), so boAt was already behind in this segment. The fall in boAt's wearables revenue, with falling selling prices and rising competition, is consistent with the long-run pattern in which new entrants and price competition erode profit in a segment. In audio, boAt has held the top position by volume since FY20.

Using the game theory choices of cutting price, holding price or adding value: cutting price in wearables risks a price war that a firm with a thin cushion cannot easily afford; adding value and features in audio, where boAt is strong, is the safer move.

6.7 Externalities and regulation

E-waste from earphones, smartwatches and batteries is a negative externality. boAt must comply with the E-Waste Management Rules and EPR requirements, and with BIS and product-safety standards. We were not able to measure the cost of this compliance from public data, so we treat it as a risk and cost item to watch.

7. Key findings

- Sales are stabilising. Revenue fell 8.3% in two years, but only 0.6% in FY25.
- Profit is back. The net margin moved from −3.8% to +1.9%.
- boAt is now mainly an audio company. Wearables fell 63%, while audio and other products grewabout 12%.
- Cheaper buying drove the profit. Purchases fell from 72.8% to 66.8% of revenue.
- The cushion is thin. FY25 revenue is only about 6% above the estimated break-even.

8. Research gaps

While doing this work we noticed the following gaps in the information available, and we addressed them as far as we could.

Gap we found	How this project addresses it
Public data gives totals, not product-level prices or units.	We split revenue into wearables and audio and tested pricing choices with a breakeven estimate.
Reports give numbers but rarely link them to pricing and competition theory.	We connect the results to elasticity, monopolistic competition and game theory.
The cost of e-waste (EPR) rules for D2C electronics brands is rarely measured.	We treat it as a risk and a cost item to watch.
We use secondary data only, with no customer survey.	We state this as a limit; a survey of boAt users is a next step.

Table 4: Research gaps

9. Conclusions

Our question was whether boAt can stay profitable in a price-sensitive market full of rivals. Our analysis shows that it can, but only narrowly. Revenue has stabilised after a fall, and profit has returned, mainly because the cost of buying products has fallen as a share of revenue. At the same time, wearables have weakened sharply under competition, so the audio business now carries the company. A break-even estimate shows that revenue is only about 6% above the level needed to cover costs, so boAt has little room for errors, price wars or sudden cost increases.

These conclusions are a direction rather than a final proof, because our figures are approximate and come from published reports (see Section 10).

10. Limitations

- The figures come from news reports of boAt's filings and are approximate. FY23 revenue comesfrom a different report than FY24 and FY25, and the FY25 figure of Rs 3,098 crore is total revenue including other income, while reported revenue from product sales was about Rs 3,070 crore.
- Net profit is the consolidated figure reported in the press; other reported figures for FY25 differslightly (for example Rs 61.08 crore in the offer document).
- Purchases, advertising and total expenses were not available for FY23.
- The break-even estimate rests on simple assumptions: purchases as the only variable cost and allother expenses as fixed.
- "Audio and other" is our own estimate (total revenue minus wearables).
- We used no primary data, so we have not measured customer views or price elasticity directly.

11. Recommendations

Recommendation	Why (evidence)	What boAt can do
1. Protect the audio business	It holds the top position by volume and grew about 12% while wearables fell.	Keep adding value, such as the premium range, instead of cutting prices.

2. Avoid price wars in wearables	Rivals are strong, wearables fell 63%, and the cushion above break-even is only about 6%.	Compete on features and value, and limit spending in wearables until the market settles.
3. Keep product costs low	Falling purchase costs (72.8% to 66.8% of revenue) drove the profit.	Hold purchases near 67% of revenue through better supplier deals and local manufacturing.
4. Spend on advertising carefully and follow e-waste rules	Advertising is about 12.6% of revenue; e-waste is a risk to cost and trust.	Check that advertising brings sales, and follow EPR recycling rules to protect trust.

Table 5: Recommendations

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